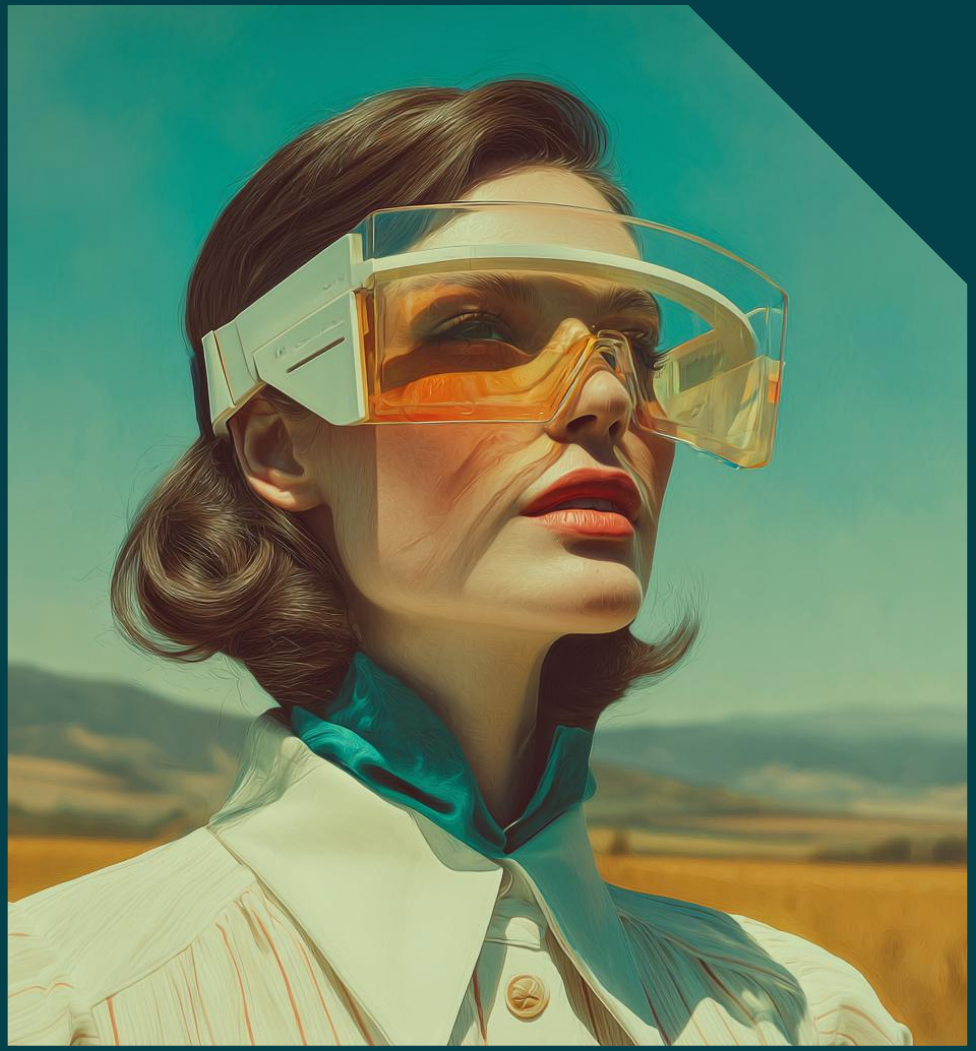
Cape Capital

# Extended realities

Moonshot:
Interfaces and immersive tech / Metaverse

9 DECEMBER 2025



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**Definition**

Technologies, commonly referred to as the metaverse, comprised of hardware and software enabling virtual reality (VR), augmented reality (AR), mixed reality (MR), and spatial computing. Together they fuse physical and digital worlds for us to work, socialise, train, design, shop and play.

# Scorecard

## 4e Interfaces and immersive tech / Metaverse

**Rank 2**

Score 83

**Big / Manageable**

28/11/2025

**Future of AI - Virtual Reality Hardware**

Definition

Interfaces and immersive tech and the so-called metaverse cover hardware and software for virtual and augmented reality, spatial computing and rich digital spaces that blend physical and digital worlds, enabling new forms of work, social

Vision

High-quality headsets, glasses and spatial devices become lighter and cheaper, and some workplaces adopt mixed reality tools for design, collaboration, training and field service. Consumers use immersive apps for

Risk

Risks include bulky hardware, motion sickness, unclear killer applications and competition from flat screens and phones. Content moderation, privacy and safety in immersive spaces are difficult. Platform lock-in, fragmented

| | | |
|---|---|---|
| Current market | 5 | USD 165bn |
| CAGR | 5 | 32.09% |
| **Market in 10y** | **5** | **USD 2668.8bn** |
| Time to launch | 4 | Commercial proof of concept |
| **Capital intensity** | **3** | **Very high capex** |
| Regulatory landscape | 3 | Moderately supportive |
| Scalability and adoption | 4 | Scalable with effort |
| Investable universe | 5 | |
| Competitive dynamics | 3 | |
| Internationally present | 4 | |

| | | |
|---|---|---|
| Size | 5.00 | Big |
| Riskiness | 4.00 | Manageable |
| **Investability** | **4.00** | **High** |

Scoring rationale

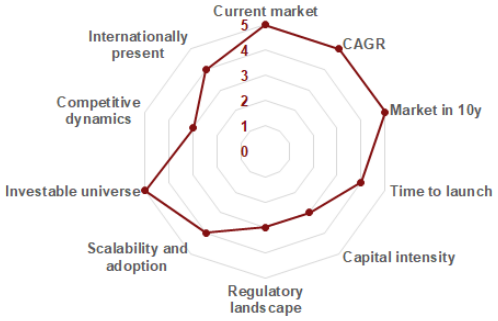
We score evidence versus friction: Apple Vision Pro about 0.5m in 2024; Meta Quest ships 5-10m per year yet remains niche; consumer adoption near 2%. Apps are more compelling, but VR is immature. By 2030, 200m headsets are possible, though cost and comfort remain constraints.

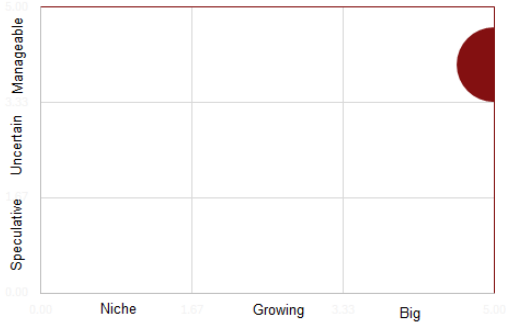
Convergence (Low-Medium-High)

Next-gen semiconductors (L), Artificial General Intelligence (AGI) (L), Superintelligence (L), Emotional AI (L), Physical AI (L)

Equities

Goertek (68), Luxshare Precision Industry (68), Nvidia (67), Lumentum (65), Unity Software (65), Unity Software (65), Samsung Electronics (63), Alphabet (61), Anycolor (61), Lenovo (60)



# Mark Zuckerberg announced Facebook's transformation into Meta on the 28 October 2021

This announcement triggered one of the most extraordinary speculative frenzies in recent tech history

*“Metaverse isn't a thing a company builds. It's the next chapter of the internet overall.”*

## Someone Paid $450K to Be Snoop Dogg’s Metaverse Neighbor

**California-based rapper Snoop Dogg is now a resident of The Sandbox metaverse. And someone really wants to live right next door.**

By Kate Irwin

Dec 3, 2021

3 min read

Snoop Dogg is an avid NFT collector. Image: Shutterstock

BYTES

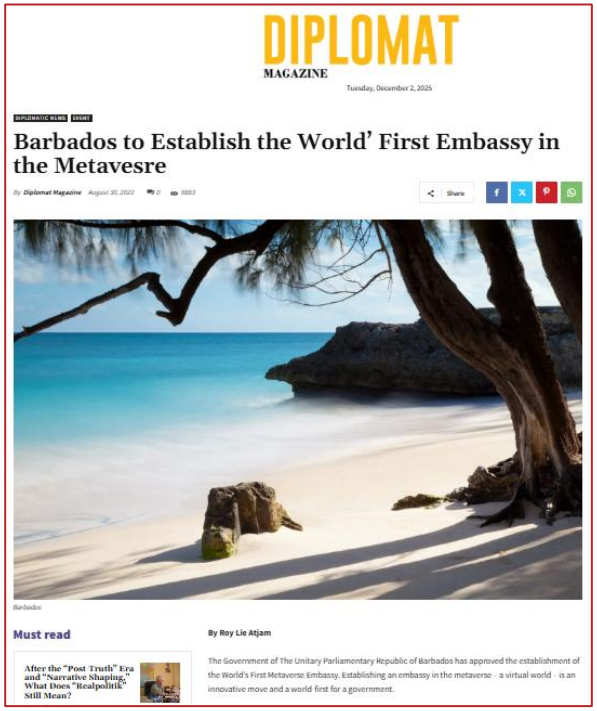
## The Sandbox Reports A New $4.3 Million Land Sale To Republic Realm

The record for the most expensive land sale in the metaverse has just been raised

By James McQuillan
Published December 6, 2021

# JPMorgan opened a bank branch in the metaverse

- In February 2022, JPMorgan became the first major bank to enter the metaverse, featuring a digital portrait of CEO Jamie Dimon. **The bank simultaneously released a report projecting the metaverse as a "USD 1tn market opportunity".**
- Citigroup (March 2022) estimated the total addressable market for the metaverse could reach **USD 8 trillion to USD 13 trillion by 2030**, assuming a device-agnostic metaverse accessible via PCs, consoles, and smartphones with up to 5 billion users.
- In July 2022, McKinsey estimated the metaverse could generate up to **USD 5tn in economic impact by 2030**.



DIPLOMAT MAGAZINE

Tuesday, December 2, 2025

DIPLOMATIC BLING | LEISURE

**Barbados to Establish the World' First Embassy in the Metavesre**

By Diplomat Magazine August 30, 2022 | 0 | 8883

Share

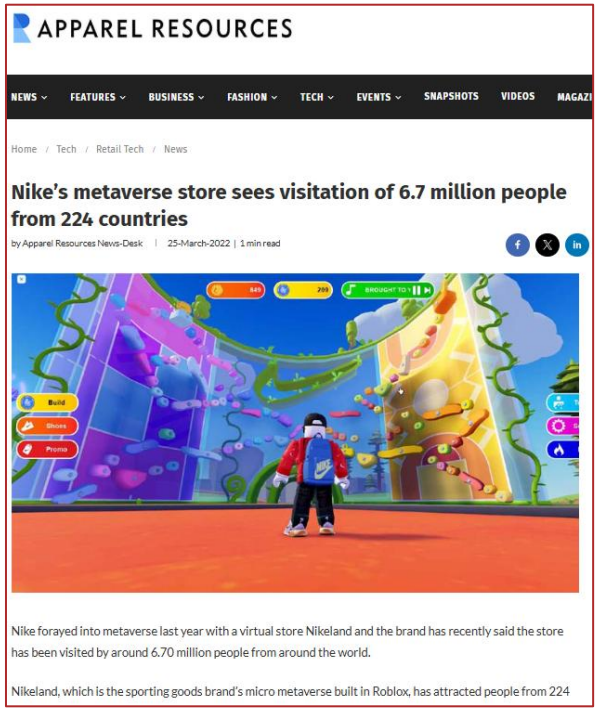
Barbados

**Must read**

After the "Post-Truth" Era and "Narrative Shaping," What Does "Realpolitik" Still Mean?

**By Roy Lie Atjam**

The Government of The Unitary Parliamentary Republic of Barbados has approved the establishment of the World's First Metaverse Embassy. Establishing an embassy in the metaverse - a virtual world - is an innovative move and a world first for a government.



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**Nike's metaverse store sees visitation of 6.7 million people from 224 countries**

by Apparel Resources News-Desk | 25-March-2022 | 1 min read

Nike forayed into metaverse last year with a virtual store Nikeland and the brand has recently said the store has been visited by around 6.70 million people from around the world.

Nikeland, which is the sporting goods brand's micro metaverse built in Roblox, has attracted people from 224

# What happened to The Sandbox ?

The Sandbox's trajectory encapsulates the entire metaverse boom-bust-survival cycle:

- **Peak hype, November 2021**: SAND token all-time high: USD 7.40-8.40
- **Rapid decline begins, January – November 2022**: SAND started 2022 at USD 5.97 and ended at USD 0.38. By June 2022, metaverse land prices had already crashed 90% from peak. Monthly platform trading volume dropped from USD 49.2m (January 2022) to USD 2m (November 2022), a 96% collapse.
- **The Sandbox survives, but as a shadow of its 2021 self**. A 98% token decline, 50% staff reduction, and daily active users in the hundreds. The platform pivoted from "metaverse land investment opportunity" to "blockchain gaming ecosystem,"

The Sandbox

Meta Platforms Inc

# The metaverse narrative has shifted

This is not a niche technology; **it represents potential displacement of significant portions of existing e-commerce (USD 29.46tn today)**, advertising (USD 600bn today) and learning markets.

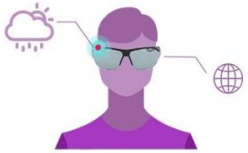
## Types of Extended Reality

### Virtual Reality

Fully enclosed, synthetic experience with no sense to the real world

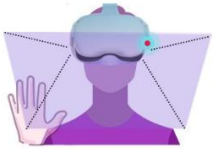
### Augmented Reality

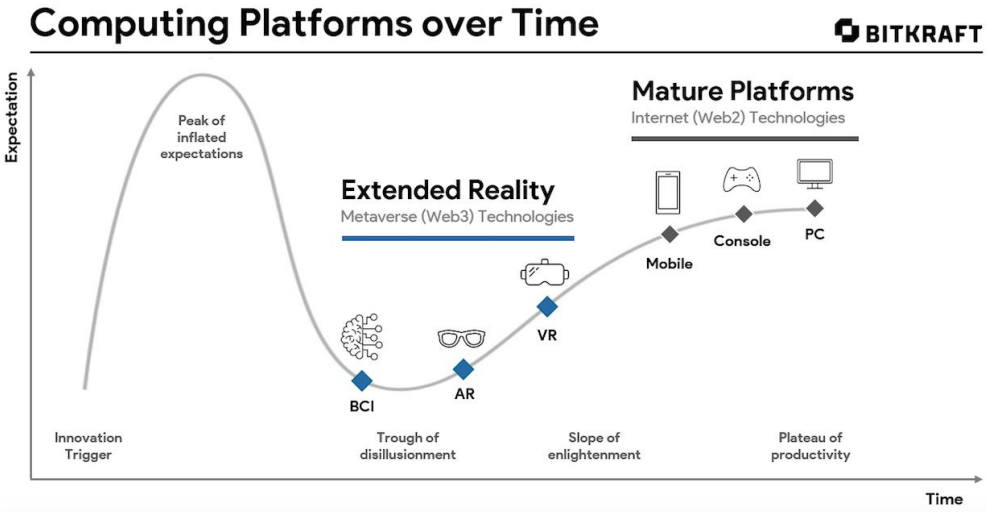
Real world remains central to the experience, enhanced by virtual details



### Mixed Reality

Interaction with and manipulation of both the physical and virtual environment





# The five trillion dollars question

Elon Musk : “I don’t see someone strapping a frigging screen to their face all day and not wanting to ever leave.”

| Source | 2024 Market Size | Projected Value | CAGR |
|---|---|---|---|
| Fortune Business Insights | USD 737.73bn | USD 7,639.70bn by 2032 | 29.2% fortunebusinessinsights |
| Grand View Research | USD 105.40bn | USD 936.57bn by 2030 | 46.4% grandviewresearch |
| Precedence Research | USD 92.46bn (2023) | USD 2,369.70bn by 2033 | 38.31% precedenceresearch |
| Emergen Research | USD 94.32bn | USD 518.41bn by 2034 | 18.7% emergenresearch |
| Straits Research | USD 104.2bn | USD 935bn by 2032 | 40.6% straitsresearch |
| MarketsandData | USD 118.93bn | USD 1,590.85bn by 2032 | 38.29% marketsandata |

**The definition problem:**

- Today's e-commerce is not counted in the "metaverse market" because it happens on 2D screens. Tomorrow's e-commerce via AR glasses would be counted because the interface changed.
- The metaverse doesn't need to generate trillions in net-new economic activity; it needs to become the preferred way existing activity is conducted.

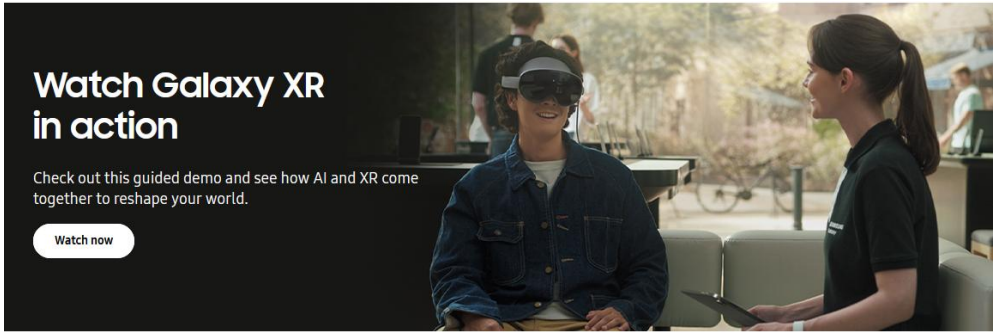
# Immersive e-commerce: From browsing to experiencing

For it to happen, you need:

1. Continued hardware maturation and declining costs
2. Expanding software ecosystems and native content creation
3. Enterprise adoption driving B2B revenue
4. Consumer adoption of smart glasses and lighter-weight devices
5. Migration of retail, training and collaboration activity into immersive platforms

Apple Vision Pro entered the market in February 2024 at USD 3,499
Apple positions the Vision Pro as an alternative to inflight screens

October 2025 - Samsung Electronics unveiled Galaxy XR – Retail price USD 1,799



# Spatial computing

Nvidia provides critical infrastructure through its Omniverse platform, enabling real-time collaboration and physics-accurate simulation for digital twin applications. The platform supports over 300,000 downloads and 252+ enterprise deployments across manufacturing, automotive and robotics.

**Build Digital Twins for Smart Cities**

Build, test, and optimize AI agents in SimReady digital twins to monitor and optimize city operations.

**Read the Blog** ›

**Build Digital Twins for AI Factory Design and Operations**

Design, test, and optimize a new generation of intelligence manufacturing data centers using digital twins.

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Generate synthetic manipulation motion data on an exponential scale from just a handful of human demonstrations for imitation learning.

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**Build a Digital Twin for Interactive Fluid Simulation**

Integrate real-time visualization and analysis into your 3D workflow to enable real-time computer-aided engineering of your product.

**Try Now** ›

**Test Multi-Robot Fleets for Industrial Automation**

Simulate and test physical AI and robotic fleets at scale in industrial digital twins before real-world deployment.

**Try Now** ›

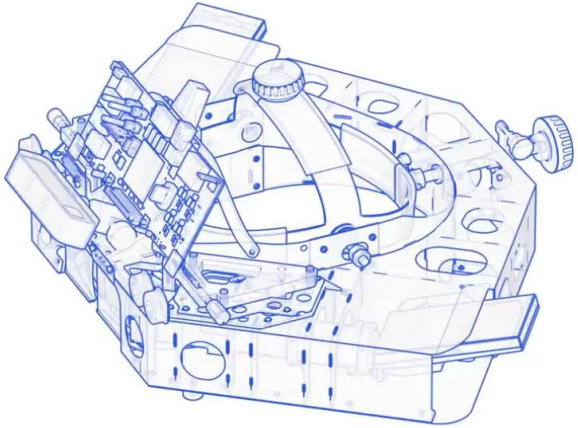
**Generate Precise Marketing Visuals With Digital Twins and AI**

Integrate generative AI into your 3D workflows to enable a physically accurate 3D product configurator.

**Try Now** ›

# Magic Leap and Varjo are leading names in BtB niche applications

- Magic Leap emphasises see-through AR for professional use cases in manufacturing, healthcare and field service.
- Varjo occupies the ultra-premium enterprise segment with its XR-4 Series, offering industry-leading resolution; up to 70 pixels per degree; designed for **military-grade training**, aviation simulation and high-fidelity design review.



# The unexpected success

Over 2m units of the Ray-Ban Meta glasses were sold since October 2023, with H1 2025 revenue tripling year-over-year and production capacity scaling toward 10m units annually by 2026.

Visilab price CHF 469

US retail price USD 799 (fall 2025)

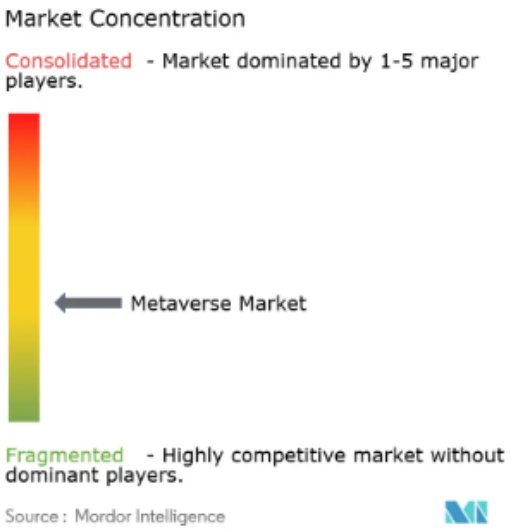
# Meta remains the dominant hardware player

- The company's Reality Labs division has accumulated over USD 60bn in cumulative losses since inception, with USD 17.73 bn in operating losses during 2024 alone.
- Breaking news: Meta stock surges after Zuckerberg plans deep cuts to metaverse efforts (4.12.2025)

## Metaverse Industry Leaders

1. Meta Platforms, Inc.
2. Roblox Corporation
3. Microsoft Corporation
4. Tencent Holdings Ltd.
5. Epic Games, Inc.

*Disclaimer: Major Players sorted in no particular order



# Use cases

- IKEA Place allows visualisation of furniture at actual scale in customers' homes; crucially, 90% of items added to carts were first viewed in AR, with basket sizes growing 60%.
- Osso VR studies demonstrated that VR-trained medical students completed procedures 20% faster with 38% more steps correct than traditionally trained peers.
- History students don't read about ancient Rome; they walk through it. Language immersion transcends travel constraints. VR platforms recreate native-speaking environments where students practice conversational skills.
- Accenture built a metaverse campus enabling 150,000 new employees to collaborate in real-time.
- **Gaming remains the most established immersive use case**

Steven Spielberg - 2018

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